

AUDC · FY2025 Q4

AudioCodes Ltd. · 22 turns · 8 participants

Operator

Operator

**CAST
(IN
ORDER
OF
APPEARANCE)****Naran Baruch**Vice President of Finance and
Chief Financial Officer**Operator**

Operator

**Roger
Chuchin**Vice
President
of
Investor
Relations**Unknown Participant****Joshua Riley**

Analyst, Needham & Company

**Shabtai
Allisberg**President
and
Chief
Executive
Officer**Unknown Participant****OPERATOR** Operator

Greetings. Welcome to Audio Code's fourth quarter in full year 2025 earnings conference call. At this time, all participants are in a listen-only mode. A question and answer session will follow the formal presentation. If anyone should require operator assistance during the conference, please press star zero on your telephone keypad. Please note this conference is being recorded. I will now turn the conference over to your host, Roger Chuchin, Vice President of Investor Relations, you may begin.

ROGER CHUCHIN Vice President of Investor Relations

Thank you, Operator. Hosting the call today are Shabtai Allisberg, President and Chief Executive Officer, and Naran Baruch, Vice President of Finance and Chief Financial Officer. Before we begin, I'd like to remind you that the information provided during this call may contain forward-looking statements relating to AudioCode's business outlook, future economic performance, product introductions, plans, and objectives related thereto. And statements concerning assumptions made or expectations as to any future events, conditions, performance, or other factors are forward-looking statements as the term is defined under U.S. federal securities law. Forward-looking statements are subject to various risks, uncertainties, and other factors that could cause actual results to differ materially from those stated in such statements. These risks, uncertainties, and factors include, but are not limited to, the following. The effect of global economic conditions in general, in conditions in audio codes industry and target markets in particular. including governmental undertakings to address such conditions, shifts in supply and demand, market acceptance of new products, and the demand for existing products, the impact of competitive products and pricing on audio codes and its customers' products and markets, timely product and technology development, upgrades, the advent of artificial intelligence, and the ability to manage changes in market conditions and evolving regulatory regimes as applicable, possible need for additional financing, the ability to satisfy covenants in audio codes financing agreements, possible impacts and disruptions from audio codes acquisitions, including the ability of audio codes to

successfully integrate the products and operations of acquired companies into audio codes business, possible adverse impacts attributable to any pandemic or other public health crisis on our business and results of operations. The effects of the current and any future hostilities involving Israel, including in the regions in which we or our counterparties operate, which may affect our operations and may limit our ability to produce and sell our solutions. Any disruption in our operations by the obligations of our personnel to perform military service as a result of current or future military actions involving Israel. and any other factors described in AudioCodes' filings made with the U.S. Securities and Exchange Commission from time to time. AudioCodes assumes no obligation to update the information. In addition, during the call, AudioCodes will refer to non-GAAP net income and net income per share. AudioCodes has provided full reconciliation of the non-GAAP net income and net income per share to net income and net income per share, according to GAAP in the press release that is posted on its website. Before I turn the call over to management, I'd like to remind everyone that this call has been recorded. An archived webcast will be made available on the Best Relations section of the company's website at the conclusion of the call. With all that said, I'd like to turn the call over to Shabtai. Shabtai, please go ahead.

UNKNOWN PARTICIPANT

Thank you, Roger.

SHABTAI ALLISBERG President and Chief Executive Officer

Good morning and good afternoon, everybody. I would like to welcome all to a full score and full year 2025 conference call. With me this morning is Niran Baruch, Chief Financial Officer and Vice President of Finance of Radicodes. Niran will start off by presenting a financial overview of the core. I will then review the business highlights and summary for the core and discuss strengths and developments in our business and industry. We will then turn it into the Q&A session. Niran.

NARAN BARUCH Vice President of Finance and Chief Financial Officer

Revenues for the fourth quarter were \$62.6 million, an increase of 1.7 percent over the \$61.6 million reported in the fourth quarter of last year. Full-year 2025 revenues were \$245.6 million, an increase of 1.4 percent over the \$242.2 million reported in 2024. Services revenues for the fourth quarter were \$34.6 million, an increase of 1% over the year-ago period. Services revenues in the fourth quarter accounted for 55.3% of total revenues. On an annual basis, service revenues were \$130.7 million, an increase of 0.4% over the \$130.2 million reported in 2024. Revenues by geographical region for the quarter were split as follows. North America, 47%, EMEA, 35%, Asia Pacific, 13%, and Celtral in Latin America, 5%. Our top 15 customers represented an aggregate of 58% of our revenues in the fourth quarter, of which 41% was attributed to our 10 largest distributors. The amount of deferred revenues as of December 31, 2025 was \$84.2 million compared to \$84.4 million as of December 31, 2024. GAP results are as follows. Gross margin for the quarter was 65.6% compared to 66.2% in Q4 2024. Operating income for the fourth quarter was \$3.7 million or 6% of revenues compared to operating income of \$4.1 million or 6.7% of revenues in Q4 2024. Full year 2025 operating income was \$14 million, compared to operating income of \$17.2 million in 2024. Net income for the quarter was \$1.9 million or \$0.07 per diluted share, compared to net income of \$6.8 million or \$0.22 two cents per diluted share for Q4 2024. Full year 2025 net income was 9 million or 31 cents per diluted share compared to 15.3 million or 15 cents per diluted share in 2024. Non-GAAP results are as follows. Non-GAAP gross margin for the quarter was 65.9% compared to 66.5% in Q4 2024. Non-GAAP operating income for the fourth quarter was \$5.4 million or 8.6% of revenues compared to \$7.5 million or 12.2% of revenues in Q4 2024. Full year 2025 non-GAAP operating income was \$21 million compared to non-GAAP operating income of \$28 million in Q in 2024. Non-GAAP net income for the fourth quarter was \$4.5 million or \$0.16 per diluted share compared to \$11.6 million or \$0.37 per diluted share in Q4 2024. Full year 2025 non-GAAP net income was \$18.1 million or \$0.61 per diluted share com-

pared to \$27.3 million or \$0.87 per diluted share in 2024. At the end of December 2025, cash, cash equivalents, bank deposits, marketable securities, and financial investments totaled \$75.7 million. Net cash provided by operating activities was \$4.1 million for the fourth quarter of 2025 and \$29.4 million for the year 2025. Day sales outstanding as of December 31, 2025 were 117 days. In October 2025, we received court approval in Israel to purchase up to an aggregate amount of \$25 million of additional ordinary shares. The court approval also permits us to declare a dividend of any part of this amount. The approval is valid through April 27, 2026. During the quarter, we acquired 600 and 67,000 of our ordinary shares for a total consideration of approximately 6.1 million. Earlier this morning, we also declared the cash dividend of 20 cents per share. The aggregate amount of the dividend is approximately 5.4 million. The dividend will be paid on March 6, 2026 to all of our shareholders of record at the close of trading of February 20, 2026. Our guidance for the full year 2026 is as follows. We expect revenues in the range of \$247 million to \$255 million and non-GAAP diluted earnings per share of \$0.60 to \$0.75. I will now turn the call over to Shabtai.

SHABTAI ALLISBERG President and Chief Executive Officer

Shabtai Mahmood- Thank you, Mehran. I'm pleased to report another quarter of solid top line growth in full quarter 25. This performance shows our focused progress towards becoming an AI driven hybrid cloud software and services company. 2025 marked a period of stabilization and growth for our company. After facing economic challenges in 2023 and 2024 that affected our legacy and hardware business lines and have led to a decline in revenue in past years, we saw 2025 a recovery of our connectivity business. Over the course of 2025, we saw promising signs of top-line growth inflection. The rate of decline in legacy business has moderated and we saw the newly invested voice AI strategic areas maintaining their robust upward trajectory. This momentum in our strategic business has been driven by our two primary growth engines, our live managed services and the emerging voice AI business. Combined, these two units contributed to 79 million annual recurring revenue exit 2025, representing growth of 22% year-over-year. While holding the line in our connectivity business, we executed well on our voice AI initiative, growing revenues by 35% year-over-year. The transition in overall company business trajectory is the result of deliberate actions, reallocating our product development investments and efforts to high market potential areas and investing in sales and marketing to build market awareness to these innovative solutions. Looking ahead to 2026, we plan to maintain this formula for success, improving revenue growth, driving steady margin expansion, and strengthening our leadership in voice AI-driven business application for the UCAS and CX markets. Now to highlights of our business performance in Foursquare 25 and full year 2025. First quarter total revenue grew, as Niran mentioned, 1.7% year over year. As we have continued to build on the strengths of our connectivity business and successfully leveraged our enterprise customer base, install base, to drive cross-sell of GenAI business voice applications that make up our conversational AI operations. As discussed earlier, our solid first quarter results were marked again by strong traction in our dual growth engines, live services delivery for UCAS and CX, and conversational AI business lines. Specifically, and on the heels of the previous quarter, our conversational AI business increased in over 50% year-over-year for both the first quarter of 2025 and also for the second half of 2025. Full year 2025, conversational AI revenues reached nearly \$17 million and accounted for 7% of total revenues. As a result, we're growing ever more optimistic about the continued strong annual recurring revenues momentum for coming years. This conviction is further reinforced by the growing backlog of live and managed services that we convert to revenues in coming course. Exit 2025, our backlog for live services reached a level of 75 million compared to 69 million at the end of 2024. Now let me provide more visibility into how we operate so that our overall company financial results are better understood. As stated in previous course, we are now in a transition period from our main focus on connectivity solution to expand and build a new AI-first, voice AI-led business application operations for enterprises. I believe this will also provide more clarity into our financials too. At this stage, our business can be generally broke down into two business units. The longest-established and running connectivity business provides for about 93% of the company revenue. It is a mature, profitable business which runs steadily over the past

five years and which has delivered operating margin of above 14% in 2025. On a longer-term basis, we target these businesses to deliver 16% to 18% operating margin. Relying on our success in these millions along the past 10 years, we are confident in our ability to continue and drive long-term stable growth as we are the front runner in this connectivity business for both the UCAS and the CX markets. The second business, the voice AI business, focusing on software as a service recurring business model, provided at the end of 2025 about 7% of the company revenue, growing from \$12 million plus in 2024 to close to 17 million exit 2025 is being revenue growth of about 35% year over year. Now that several product lines reach maturity and started to produce growing annual revenue, we are confident in our ability to keep growing this business line at a rate of 40 to 50% annually in coming years. And we plan to reach a revenue level of \$50 million in 2028. Need to say that we rely extensively on using Gen-AI technology in a solution to provide business voice application for the U.S. and CX enterprise market. It is important to note, though, that the voice AI business is in investment mode currently and generates an annual budget burn of about \$9 to \$10 million a year. With the 50% annual revenue growth plan for this business line, we believe we should reach break-even in two years from today. Before turning to detailed business line discussion, let's quickly shift into the four score profitability metrics. As mentioned before, four score total revenue grew 1.7%. Our non-GAAP gross margin for the quarter of 65.9% is within our long-term target range of 65 to 68 percent, and a slight improvement sequentially from 65.8 percent last quarter. Fourth quarter, tariff-related cost add-ins accounted to \$600,000 and aggregated to \$2.7 million for the full year 2025. We expect tariff-based impact to approximately get to \$2.3 million in 2026. Post-core non-gap operating expense of \$35.8 million compared to \$34.7 million in the third quarter and \$33.4 million from the year-ago period. On a year-over-year basis, the higher expenses are attributable to targeted investment in marketing and sales tied to the voice AI business, allowing it to grow further. and impact from the weakening US dollars against the Euro in the full score. Full year 2025 non-GAAP operating expense increased 6.2 versus the year-ago peers for the same reasons. In terms of workforce, we concluded 2025 with 981 employees, representing an increase from 961, the previous score, and 946 at the end of 2024. Adjusted EBITDA for the first quarter was 6.5 million, reflecting a 10.4% margin compared to 6.9 or 11.2% in the prior quarter. For the full year, adjusted EBITDA reached 24.8 million or 10.1% margin. Non-GAAP EPS was 16¢ in line with our plans in the year-ago quarter. Net cash provided by operating activities were 4.1 million for the quarter and 29.4 million for the full year 2025. On the guidance front, we expect 2026 to be a gross year. We expect 2026 revenues of 247 million to 255 million in the year and non gap EPS of 60 to 75 cents. This projection assume continuing strong growth of 40 to 50% of the voice AI business and a stable connectivity outlook, assuming no significant changes in the macro economic landscape. Our overall annual recurring revenues which encompasses our managed services for connectivity plus conversation AI is expected to grow from 79 exit 25, growing 20% in 2026 and reaching a range of 92 to 98 million in 2026. Now let's move to the actual business line. Let's talk first about Microsoft. During the full score, Microsoft business saw a sequential increase of 7%. This growth was largely driven by the continued strength of the connectivity franchise and rising attach rate for AI-ferrous vocal CAC, which is our team-certified CCAS solution. The total contract value signed at the full score remained consistent with previous scores. On an annual basis, total contract value grew by 5% year-over-year, reflecting steady progress. The Microsoft Teams voice ecosystem continues to demonstrate very healthy situation. Recently, it was disclosed that the number of PSTN users reached 26 million, up from 20 million stated in April 2024, which indicates an annual growth rate of 16% to 17%. Although Teams Phone users represent less than 10% of a total Teams monthly active worldwide user, which is estimated at 320 million seats, there's potential of total of 80 to 100 million pre-licensed C5 users, creating immediate large addressable markets. Looking ahead to 2026, we anticipate an additional increase of 3 to 4 million users, supporting the evolution towards an AI-powered workplace, as stated by Microsoft. One notable win in the quarter was a 36-month contract signed with AT&T to support a large public university. The agreement provides for a comprehensive range of services, including managed gateway, SBC, and calling plans, as well as IP phones, facilitating the migration to TeamSource from Cisco. Another key contract was a 60-month deal with an international equipment manufacturer

based in Europe. This engagement began with a live premium managed service for an initial phase of 2,000 users, marking the start of a full migration to Teams Voice from Cisco. Upon completion of migration, the focus will shift to cross-selling additional business voice applications such as Vocal CAC. In the fourth quarter, actually, we have been engaged in a Delta front extending and expanding our efforts in the UCAS market. So all the UCAS fronts, yesterday we announced that we now offer an end-to-end portfolio of certified voice solutions for Cisco Webex Calling from Cloud Connect, PSCN connectivity to analog gateways and deaf phones. Webex Calling is Cisco's cloud phone system, a cloud PBX that provides enterprise telephony business calling features and PSCN connectivity delivered and managed through Webex Cloud. For 2025, Cisco publicly stated in November that Webex Calling serves now more than 18 million users worldwide. So for us, this new evolving cooperation with Cisco represents a major new opportunity in expanding our connectivity and devices business for UCaaS in coming years. Now to our conversational activity. In the last 18 months, conversational AI moved from experimentation to expectation. In both UCaaS and customer experience, buyers are no longer asking, should we use AI? They are asking which AI, where does it run, who controls the data, and how fast can we scale it? That is exactly why we've been investing in past years in developing a rich portfolio of solutions. Across UCaaS, this is about turning conversation into business assets, meeting into decision, and voice interactions into actions. Across CX, it is about moving from basic sales service bots to real automation voice agents that can resolve, route, summarize, comply, and improve over time. Pivoting towards a more intelligent enterprise, our conversational AI portfolio is already built for this reality. Our solution, namely Voice AI Connect, Live Hub, Vocal CAC, Meeting Insights, Cloud Edition, Meeting Insights On-Prem, and more, are all designed to connect voice and conversation to enterprise systems, and to support multiple models and deployment options. But let me challenge one assumption I see here in the market, that AI value comes from the model. True, the large language model matters. However, it is the durable value that comes from orchestration, security, integration, and governance. So combining our vast telephony technology base with our conversational AI portfolio bring your own AI approach to deploying solutions in various UCS and CX environments, is our way to meet customers where they are, make adoption faster, reduce risk, and expand what partners can deliver. To summarize the quarter, as mentioned earlier, fourth quarter, 25, conversational AI revenue grew over 50% year over year. Now, let's start with the leading line, which is the Voice AI Connect Live Hub line. This discussion focuses and revolves around the conversational AI platform market and the emerging voice AI agent sector, which gained significant traction over the past two years. Leading research firms estimate that the market for voice AI agents will reach between \$8 billion to \$15 billion by 2028, with expectation that it will double by 2030. Regarding our business activities, both Vossia Connect and the live app business delivered robust results in the full score of 2025. For the full year, this segment achieved growth exceeding 50% compared to 2024. This strong performance was driven by consistent acquisition of new clients across the US, Europe and APAC, as well as considerable expansion within our existing customer base. Live Hub service or Voice CPaaS self-service cloud platform empowering voice board developers to build solutions such as conversational IVR, voice agents, agent assist, and real-time translation services. In late third quarter 2025, we announced enhancement to the Live Hub platform PoE CPaaS offering, notably the integration of newly developed voice AI agents. By year in 2025, live app experience substantially increased in both number of developers and platform usage in minutes, while monthly recurring revenue approached 150% increase compared to the full score in 2024. Notably, many existing voice AI connect live app customers have accelerated their consumption rates beyond the initial projections, reinforcing our belief that the adoption of GenAI-enabled virtual agent-assist application is entering a phase of rapid growth. A significant achievement in Full-Score 25 was securing an initial order with a Tier 1 international carrier, adopting our VoiceAI Connect service to support their call summarization solution. The deployment initially targets enterprise fixed-line customers, which plans to expand to the entire mobile consumer and enterprise user base in late 2026. We view this contract as an important entry point with substantial potential for further expansion as the service is scaled across current clients and new use cases are developed.

UNKNOWN PARTICIPANT

Now to VOCA CIC.

SHABTAI ALLISBERG President and Chief Executive Officer

VOCA CIC, which started a sub-1000 agent range, recorded another quarter of strong revenue growth for both fourth quarter and full year. Revenue for the year grew over 55% compared to previous year. 2025 was very proactive in terms of progress in the VOCA business line. During the year, we have developed cooperation with regional channel partners as well as with global system integrators. Activity has been fairly positive. By now, VOCA CIC has more than 200 enterprise customers worldwide. We are extremely successful in the education space, especially in North America, UK, and other regions where Microsoft Teams is dominant in the vertical. We have now more than 15 universities' accounts acquired in 2025. We have introduced new out-of-the-box practical AI experiences such as Agent Insights, and AI receptionist, some of which extends beyond the Microsoft Teams install base. We have productized an on-prem, survivable version of VocalCAC to act as a backup in case of cloud outage. Key four core highlights include extending our momentum in our education market, not only in the U.S., but also outside the U.S., We can talk about a large university in South Africa selected VOCA CAC Contact Center as part of their overall Microsoft Teams UCCX deployment. Another major win is successful large-scale enterprise deployment with a top five global BPO provider. During the core, we issued a press release highlighting the deployment of VOCA CAC with ATENTO on a deal won in the prior core. The new conversational AI voice solution supports more than 500 concurrent AI voice agents for a large health-care organization and was delivered in just a few weeks, compared to a typical three to six month deployment timeline for a project of this scale. A new product was introduced, Agent Insights. As discussed earlier, as core, we recently launched Agent Insights, which brings GenAI into the VOCA CSE platform. Agent Insights provides contact center with customizable AI summaries, sentiment analysis, and one-click CRM updates built natively in agent workflows. Looking ahead, we expect 2026 to be another year of strong revenue growth driven by continued traction in both direct sales and channel partnerships. Moving on to Meeting Insights Cloud Edition, Meeting Eastside Cloud Edition maintained impressive momentum throughout this quarter, seeing consistent increases in new customer acquisitions. Record numbers were again achieved in metrics such as total meetings and unique active users, leading to substantial year-over-year monthly recurring revenue growth as of December 2025. This strong performance was driven by continued product innovation, boosting demand both across wider markets and within custom workflow solution design for specific verticals, such as higher education, local governments, HR, finance, and more. Meeting Insight now works independently of any particular UC systems, expanding its flexibility. In full score 2025, support was added for Google Meet, and we do expect integration with Cisco WebEx in the current core. that adding to the existing compatibility we have with Microsoft Teams and Zoom. This update enables GenAI meeting summaries for interactions on a major UC platform, so less in-person meetings. Beyond allowing customers to customize prompts for their precise requirements, the platform now offers pre-built templates created for specific enterprise roles and persona, including those in legal and HR. This feature is expected to further streamline how efficiently customers can extract useful insights from meetings. Additionally, the platform's mobile app enables on-demand recording, action item management, meeting preparations, and chat-based search of meeting records. These features make the MeetingInside mobile app essential for daily office operations. Now to another derivative of the MeetingInside solution, which we call MIAOP, on-prem. Let's talk first about the cloud repatriation trends emerging. The proportion of businesses planning to retain users on-premise jumped from 5% to 15% over two years, driven primarily by data sovereignty concerns in European markets and regulated sectors such as legal, finance, and defense. Even cloud-committed enterprises now scrutinize where data is hosted and processed. This Trends validate hybrid deployment capabilities and position data residency controls as competitive differentiators, countering pure cloud narratives that dominate previous market cycles. In fourth quarter 25, we continue to make good progress with the newly introduced MIAOP solution, with a growing number of wins in the government and defense

market in Israel. positioning the business line to account for a meaningful growth in our conversational AI segment in 2026. Following last quarter, Israeli Nimbus Contract Award, which streamlines procurement of our meeting intelligence services for all Israeli government ministries and agencies. We have already signed one first deal and currently have several more additional proof-of-concept engagements across various ministries. We also received Nimbus Layer 5 approval, certifying that our solution meets the highest standard of security and compliance standards under the Nimbus Israeli Nimbus framework. We expect this designation to expand both the number of agencies we can serve and the range of services we can provide. The MIA-OP solution supports currently the English and the U.S. English and Hebrew languages. We expect to substantially grow that number of supposed languages to tense, basically already in this first quarter. So we expect deployment of me LP in more countries already in the second quarter and beyond. So to wrap up my presentation, we exit 2025 is good operational momentum, the connectivity business has stabilized in second half of the year was a business group 35% on a yearly basis, and about 50% in the second half of the year, with the continued pace of investment in our live managed services activity. And in the voice AI area, we expect continued momentum in 2026 and beyond. And I'd like to move over the call to the q&a session. Thank you.

OPERATOR Operator

Certainly. At this time, we will be conducting a question and answer session. If you would like to ask a question, please press star 1 on your telephone keypad. A confirmation tone will indicate your line is in the question queue. You may press star 2 if you would like to remove your question from the queue. For participants using speaker equipment, it may be necessary to pick up your handset before pressing the star keys. Once again, that is star 1 to ask a question. One moment, please, while we poll for questions.

OPERATOR Operator

Your first question for today is from Joshua Riley with Needham & Company.

JOSHUA RILEY Analyst, Needham & Company

Hey there. Thanks for taking my questions. Maybe just starting off on the updated financial target for conversational AI growth through 2028. is the 40 to 50% annual growth, is that intended to be a CAGR growth rate through 2028? And then along with that, should we think about the primary driver being customer growth or higher spend per customer driving that conversational AI growth? So do you expect to get a lot more new customers or sell more of the new conversational AI products to existing customers?

SHABTAI ALLISBERG President and Chief Executive Officer

Right. Thank you, Josh. Yeah, actually, we're looking for both. As I've mentioned before, several of our conversational AI business voice applications reached maturity in 2025, which really says that we just started out with... few hundreds of customers. We expect that this number will grow substantially as we're adding more capabilities and more features and also investing in our sales operations. I would say that in 2025 our sales ability was a bit restrained simply because we didn't want to move too quickly into the sales phase without having a more mature, more complete product. Now we feel fairly confident with, you know, and we get the feedback from customers. So, yes, the number of potential customers should grow. I would say, I'll use the word I'm not using usually, it will grow dramatically, I expect, in certain areas. Also, you know, due to the addition of new capabilities and new features, we do expect that per customer, you know, expand on our solution will grow simply because we intend to bring more capability. So yeah, growth should come from both. And I'll tell you that I'm talking now about 50% growth. But as we talk, you know, there are new application popping up, you know, on a weekly basis, talking to customers. And, again, our ability to combine our vast telephony capabilities with the very large investment we made in conversational AI. Just to give you a data point, you know, we are known to be a company that's investing, you know, rich in R&D. Out of about 1,000 employees, we have

350 employees doing R&D work. We are moving fast into moving, you know, big portion of that R&D force into voice AI. So while we when we started out back in 2010, with only about 40 to 50 employees on this line, now we have 150 out of those 350 employees. So all in all big investment, we see success that gives us all the reason to continue to invest and believe in growth, such as, you know, 50%, and it could be more.

JOSHUA RILEY Analyst, Needham & Company

Gotcha. And then you mentioned there's been a shift in market expectations around AI. Can you just help us understand how has that maybe positively impacted your pipeline visibility and size now that we're moving past the kind of a testing phase for customers with some of these voice AI products and now moving into broader adoption? Do you feel that your pipeline visibility and size is improving and increasing?

SHABTAI ALLISBERG President and Chief Executive Officer

Yes, as I've mentioned, you know, we are increasing our sales force. We're spreading our operation into more countries. Some of these applications are fairly, you know, easy to use. You know, SaaS applications that, you know, a company can test, do a proof of concept for 30 to 60 days and then moving into production. And with some of the more compelling applications, capabilities we're bringing to the game, we do have better visibility compared to take networking deals or connectivity deals, which, you know, being larger but still, you know, usually takes essentially more time, could turn to be anywhere between three months to nine months.

JOSHUA RILEY Analyst, Needham & Company

Gotcha. And then last question for me is how should we think about any impact from tariffs to the 2026 financials and gross margin and any other items to be considering regarding tariffs in 2026.

SHABTAI ALLISBERG President and Chief Executive Officer

Thank you. Right. Right. So gross margin, we believe, will step up simply because our products, you know, mix of products will turn substantially more into software and services. So we do expect to keep that range of 65% to 68%, you know, operating margin. I'm sorry, gross margins and gross margin. And then I'm sorry, what was the second one? Yeah, the tariff was about 2.7 million in 2025. We currently estimate it to be a bit lower, you know, probably around 2.3 million in 26.

UNKNOWN PARTICIPANT

Thank you.

UNKNOWN PARTICIPANT

Sure.

OPERATOR Operator

As a reminder, if you would like to ask a question, please press star 1 on your telephone keypad. We have reached the end of the question and answer session, and I will now turn it over to Shabtai for closing remarks.

SHABTAI ALLISBERG President and Chief Executive Officer

Thank you, operator. I'd like to thank everyone who attended our conference call today. With continuing good business momentum in our live managed services operations and continuing growth in our voice ad business, we believe we are on track to grow revenue and profitability in the next coming years. We look forward to your participation in our next quarterly conference call. Thank you all.

UNKNOWN PARTICIPANT

Have a nice day.

OPERATOR Operator

Thank you. This concludes today's conference, and you may disconnect your lines at this time. Thank you for your participation.